

Write your name here		
Surname	Other names	
Pearson Edexcel Level 3 GCE	Centre Number 	Candidate Number
Economics B Advanced Paper 1: Markets and how they work		
Predicted Paper (HARD) – Afternoon Time: 2 hours	Paper Reference 9EB0/01	
You do not need any other materials.	Total Marks	

Instructions

- Use black ink or ball-point pen.
- Fill in the boxes at the top of this page with your name, centre number and candidate number.
- Answer all questions.
- Answer the questions in the spaces provided – there may be more space than you need.

Information

- The total mark for this paper is 100.
- The marks for each question are shown in brackets – use this as a guide as to how much time to spend on each question.
- Calculators may be used.

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Turn over 

Answer ALL questions.

SECTION A

Read the following extracts (A to D) before answering Question 1.

Write your answers in the spaces provided.

Extract A

The UK streaming services market

The UK subscription video-on-demand (SVOD) market reached £3.5 billion in 2023, having grown by 12.6% year-on-year despite rising household cost-of-living pressures. Around 19.2 million UK households hold at least one streaming subscription.

Netflix remains the largest streaming service in the UK by subscriber numbers. Netflix UK reported revenues of £1,450m for 2023 and an operating profit of £248m. By comparison, BritBox, Disney+ and Amazon Prime Video continue to invest heavily in content.

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Competition is intensifying. The launch of the ad-supported tier by Netflix in late 2022 reflects a shift toward hybrid business models. Many households are now engaging in 'subscription stacking' — holding multiple services — while others are 'churning' in and out based on specific content releases.

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Smaller specialist services such as MUBI (curated independent cinema) and Shudder (horror) have also grown. Industry analysts note that the so-called 'streaming wars' have entered a new phase where content quality, user experience, and ad-tier monetisation matter more than pure subscriber growth.

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(Source: adapted from Ofcom Media Nations Report 2023 and Ampere Analysis)

Extract B

UK SVOD market share by estimated subscriber numbers (2023)

Streaming service	UK subscribers (millions)	Market share
Netflix	16.80	35.0%
Amazon Prime Video	13.90	29.0%
Disney+	7.90	16.5%
NOW	2.00	4.2%
Apple TV+	1.70	3.5%
Paramount+	1.40	2.9%
BritBox	0.95	2.0%
MUBI	0.20	0.4%
Other services	2.15	4.5%

(Source: adapted from BARB Establishment Survey and Ofcom, 2023)

Extract C

MUBI – curation over scale

MUBI is an independent streaming platform known for its curated selection of independent and world cinema. It operates globally but maintains a strong UK subscriber base focused on cinephiles and film students.

MUBI differentiates itself through curation — showing 30 hand-picked films at any time. The platform's UK revenue in 2023 was estimated at £12m with an operating margin of around 4%.

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'We believe that in a world of abundance, curation is the most valuable service,' said MUBI's founder. The company has grown UK subscribers by 18% year-on-year but faces intense competition from rivals with far deeper pockets.

(Source: adapted from MUBI Press Release 2023 and Screen Daily)

Extract D

Netflix UK standard-plan monthly price (£), January each year

Year	Price (£)	Year-on-year change
Jan 2019	8.99	—
Jan 2020	8.99	0.00%
Jan 2021	9.99	11.12%
Jan 2022	10.99	10.01%
Jan 2023	10.99	0.00%
Jan 2024	11.99	9.10%

(Source: adapted from Netflix UK pricing history)

1 (a) Using Extract A, calculate to 2 decimal places the operating profit margin for Netflix UK in 2023. You are advised to show your working. **(4)**

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(b) Using Extract D, calculate to 2 decimal places the percentage change in the Netflix UK standard-plan monthly price from January 2019 to January 2024. You are advised to show your working. **(4)**

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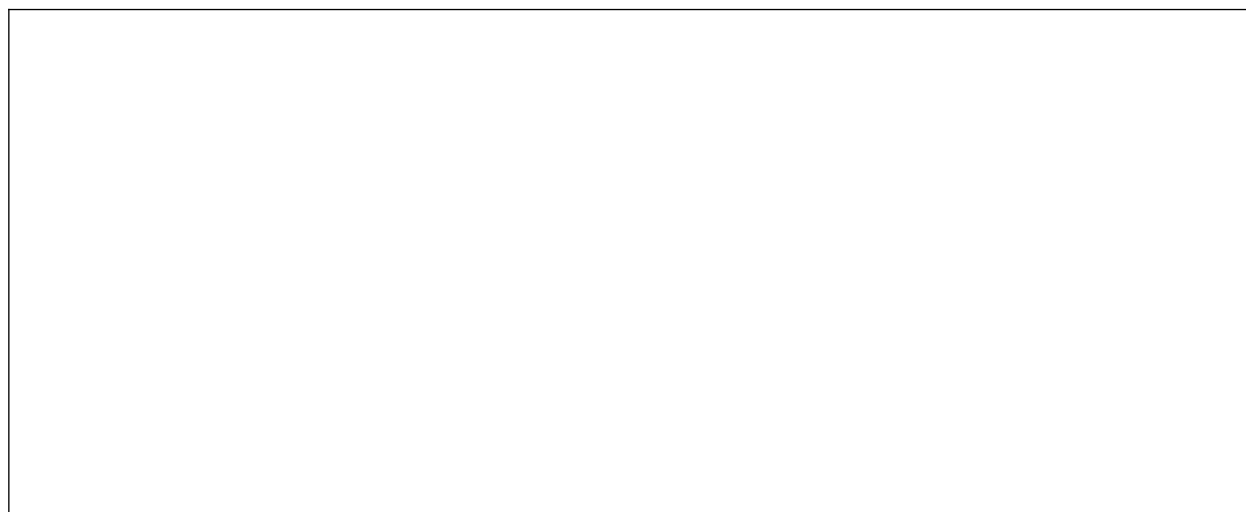
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(c) Using a supply and demand diagram, illustrate the impact of the launch of multiple new streaming services on the equilibrium price and quantity in the UK SVOD market. (Extracts A and B) **(4)**



(d) Netflix, Amazon Prime Video and Disney+ account for most UK SVOD subscribers. (Extract B) Analyse one possible impact of the market structure on the pricing strategy of these firms. **(6)**

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(e) Discuss whether profit maximisation is the most important business objective to a specialist streaming service such as MUBI. **(8)**

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(f) Extract D shows recent price increases by Netflix. Assess the likely impact of these rises on Netflix's UK subscriber base and revenue. **(10)**

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(g) Assess the importance of non-price competition in the UK SVOD market. **(12)**

This image shows a full page of a notebook or worksheet template. It consists of approximately 20 evenly spaced horizontal dashed lines across the entire width of the page, providing a guide for handwriting practice. The background is plain white, and there are no margins, text, or other markings present.

(h) Assess whether the UK SVOD market is best described as an oligopoly or as monopolistically competitive. **(12)**

7

(Total for Question 1 = 60 marks)

TOTAL FOR SECTION A = 60 MARKS

Answer ALL questions.

SECTION B

Read the following extract (E) before answering Question 2.

Write your answers in the spaces provided.

Extract E

UK interest rates and the cost of living

Between December 2021 and August 2023, the Bank of England raised its base rate from 0.1% to 5.25% — the sharpest tightening cycle in over three decades. The Monetary Policy Committee cited persistent inflation, with CPI peaking at 11.1% in October 2022, as the main driver.

Higher interest rates have transmitted rapidly to household finances. Around 1.4 million mortgage holders refinanced in 2023, many facing payment rises of £200–£400 a month. New mortgage rates averaged around 6% by late 2023, compared with under 2% in 2021.

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The housing market has cooled. UK house prices fell 1.2% year-on-year in 2023 — the first annual decline since 2012. New housebuilding starts have fallen sharply as developer confidence has weakened.

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Consumer spending on discretionary goods and services has softened. Retailers report consumers trading down to cheaper brands, subscription services reporting higher churn, and pubs and restaurants recording falling volumes.

However, some savers and pensioners have benefited from higher deposit rates. Bank profits have risen as net interest margins have widened, though some economists warn this reflects slow pass-through to savers rather than efficient pricing.

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(Source: adapted from Bank of England Monetary Policy Report 2023 and ONS data)

2. Using Extract E, evaluate the likely macroeconomic impact of the sharp rise in UK interest rates between 2021 and 2023. **(20)**

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Answer ALL questions.

SECTION C

Read the following extracts (F and G) before answering Question 3.

Write your answers in the spaces provided.

Extract F

The Digital Markets Act and streaming

The Digital Markets Act (DMA) came into force in the EU in 2023, with the UK's Digital Markets, Competition and Consumers Act following in 2024. Both aim to regulate 'gatekeeper' platforms by restricting self-preferencing, requiring interoperability, and preventing the bundling of services.

Streaming services are indirectly affected. Large platforms (Google, Apple, Amazon) control critical distribution channels — app stores, smart-TV operating systems, and advertising ecosystems. The Competition and Markets Authority (CMA) has identified strategic market status in mobile ecosystems.

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Supporters argue the rules level the playing field for smaller operators like MUBI, enabling them to reach consumers without paying 30% app-store commissions. Critics warn the rules add compliance costs and may deter investment in content by platforms.

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(Source: adapted from CMA and European Commission, 2023)

Extract G

Regulating content and pricing transparency

The UK government has also announced plans to require price-transparency measures in streaming contracts. From 2025, providers will be required to give clear advance notice of price rises, an easier cancellation process, and to prevent the automatic rollover of subscriptions without explicit consent.

Ofcom is consulting on 'content minimums' for UK productions on large streaming platforms, similar to the PSB quotas applied to broadcast television. Industry bodies have pushed back, arguing that over-regulation could cause streamers to divert UK investment elsewhere.

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Consumer groups point to the fact that several million UK households pay for streaming services they rarely use — a phenomenon economists call 'inertia pricing' — and argue that regulation would improve consumer welfare.

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(Source: adapted from DCMS consultation papers and Which? 2023)

3. Evaluate the likely impact on the UK streaming industry of increased government regulation of the UK digital markets. (20)

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(Total for Question 3 = 20 marks)

TOTAL FOR SECTION C = 20 MARKS

TOTAL FOR PAPER = 100 MARKS